Micron Technology, Inc.

MU NASDAQ

Buy	$879.72 ▲ 3.62%	12M Price Target **$1150.00**	52-Week Range $103.38 – $1255.00	Market Cap $993.55B

MU: SK Hynix Warning Ironically Bullish for Micron

WHAT HAPPENED

- MU bounced +3.6% today after getting hammered ~14% over the prior three sessions. The catalyst: SK Hynix (Micron's biggest HBM competitor) issued a cautious outlook, and counterintuitively that's *good* for MU — it signals the memory industry is staying disciplined on supply, which keeps prices high. Translation: nobody's flooding the market with cheap chips.
- Broader chip sector officially slipped into a "bear market" (down 20% from highs), but today's rebound suggests the panic selling is exhausting itself. Low volume on today's bounce (12M vs. 60M+ on the down days) means this is a relief rally, not conviction buying yet.

WHY IT MATTERS

The SK Hynix warning is the tell here — when your biggest competitor sounds cautious, it usually means they're not going to expand capacity aggressively, which protects Micron's pricing power on HBM (high-bandwidth memory, the chips that go into every NVIDIA AI accelerator). That's the whole bull thesis in one data point. But the options flow is flashing yellow: traders bought over $15M in near-term puts at $880-895 strikes, meaning somebody's hedging or betting on more downside into the July expiration. My read: the memory supercycle narrative is still intact, but positioning got crowded and we're seeing a healthy shakeout before the next leg — earnings and guidance from hyperscalers (Alphabet reports this week) will decide if this bounces hard or retests $820.

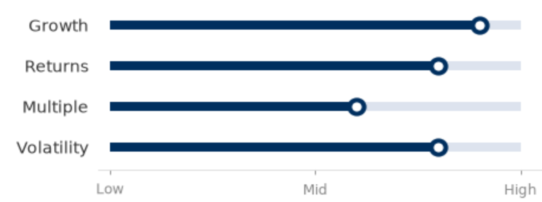
POLICY & POLITICAL WATCH

The CHIPS Act money is still flowing — Micron has $6.1B in federal grants committed for their Idaho and New York fabs, and the Trump administration has signaled they want to keep semiconductor onshoring alive even while trimming other Biden-era programs. The real policy wildcard right now is the pending Section 232 tariff review on semiconductors — if the administration slaps tariffs on foreign-made memory chips (targeting Samsung/Hynix imports), that's a direct gift to Micron as the only major US-based memory maker. Also watch the ongoing China export control tightening; MU has already taken the hit from being banned in Chinese critical infrastructure, so incremental restrictions on Samsung/Hynix selling into China would actually *help* Micron's competitive position.

IS IT EXPENSIVE?

Key Data	
Price (USD)	$879.72
12M Price Target	$1150.00
Upside / (Downside)	+30.7%
Market Cap	$993.55B
FY2026E Revenue	$52,000M
FY2027E Revenue	$68,000M
FY2026E EPS	$42.50
FY2027E EPS	$58.00
Fwd P/E	20.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$970.00**	$910.00	**$810.00**
6 Months	**$1150.00**	$1000.00	**$780.00**
1 Year	**$1350.00**	$1150.00	**$750.00**
2 Years	**$1600.00**	$1300.00	**$700.00**
5 Years	**$2200.00**	$1600.00	**$600.00**
10 Years	**$3500.00**	$2200.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Data center infrastructure and utilities/power names — the AI buildout needs electricity and cooling, and both got fresh policy support from the administration's grid modernization push. Energy also catching a bid on Mideast peace headlines cooling risk premiums.

COOLING OFF: Broad semiconductors just entered bear market territory (-20% from highs) as the market questions whether AI capex is peaking. Industrials also weak on tariff uncertainty.

ROTATION WATCH: Money rotated OUT of high-beta chips over the last week and INTO defensive tech (software, mega-cap platforms). Today's chip bounce on low volume suggests short-covering, not real rotation back in — need to see hyperscaler earnings to confirm.

RELATED PLAY: If Micron's HBM thesis holds, the memory equipment makers (Lam Research, Applied Materials) benefit as MU expands capacity. Also Vertiv (VRT) for the datacenter cooling angle.

WHO'S WINNING IN THIS SPACE?

- SNDK (SanDisk): Rebounding hard today as memory names catch a bid — NAND flash pricing following DRAM higher.
- GOOGL (Alphabet): Kicking off Big Tech earnings tonight — if capex guide is strong, it's a direct tell for MU demand.

MU CONTEXT: Micron is lagging the broader tech tape on the 5-day (down more than the sector) but leading today's rebound — classic high-beta behavior. The stock overshoots in both directions, so leadership on up days after a selloff is a bullish tell that dip buyers are showing up.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $830-860 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over or Samsung qualifies at NVDA taking share

Hedging: Small SOXX put spread or pair-trade short vs. a lagging memory name